09 AML Sanctions Compliance iGaming

AML and Sanctions Screening in iGaming dilisense
Open main menu
Products
Pricing
Data Sources
Use Cases
Developers
Company
Sign in Register

AML and Sanctions compliance in iGaming
Guidance through the essential stages of AML compliance and sanctions screening in the iGaming space.

Published May 18, 2025

TL;DR
iGaming operators in Europe must adhere to strict AML (Anti-Money Laundering) and CFT (Countering the Financing of Terrorism) regulations. These include conducting Customer Due Diligence (CDD) during account creation or when deposits reach specific thresholds, verifying identities, and conducting Enhanced Due Diligence (EDD) for high-risk customers (e.g., PEPs). Operators must also screen customers against sanctions lists (EU, UN, OFAC) and file Suspicious Activity Reports (SARs) for suspicious transactions.
Record-keeping is essential, with transaction and CDD data retained for at least five years. Operators must appoint an AML compliance officer (MLRO) to oversee compliance efforts. These measures ensure legal compliance, prevent money laundering, and protect the platform's integrity.

Introduction
According to European regulations, an iGaming operator 1 is a company that is licensed to provide online gambling services, including sports betting, casino games, and poker, to players through online channels. The operators' compliance with national or regional gambling laws and regulatory frameworks is essential. These frameworks include oversight of licensing, player protection, anti-money laundering, and responsible gaming.
European iGaming operators are classified as obliged entities under European Anti-Money Laundering regulation 2 and national laws. This means they must implement robust Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT) measures, as well as comply with economic sanctions regimes.
The high volume of transactions and cross-border nature of online gaming pose significant
money laundering risks , 3 prompting regulators to impose stringent compliance processes. Failure to meet these requirements can lead to heavy fines, license revocation, or even criminal liability under the EU framework and national laws.
Below is an overview of the key AML and sanctions compliance processes for iGaming operators in Europe, with references to operational obligations, due diligence procedures, and regulatory alignment. The focus is on the requirements stemming from the EU regulatory framework. Additionally, reference is made to the UK Gambling Commission and the UK's
Money Laundering Regulations (MLR), and the regulatory approach under the Swiss Anti-Money Laundering Act, often aligning with international standards like those from the FATF.

Customer Due Diligence (CDD) in the iGaming sector
iGaming operators must conduct Customer Due Diligence (CDD) on players prior to or during account establishment. This typically involves collecting and verifying the customer's personal information (name, date of birth, address, etc.) using reliable, independent sources (e.g., government-issued ID, proof of address) when a player's deposits reach certain cumulative thresholds. In some jurisdictions, iGaming companies are subject to strict identification requirements, regardless of the deposit amount.
According to Switzerland's Federal Act on Gambling (Gambling Act) 4 and Anti-Money Laundering Act (AMLA) 5 , identification is mandatory before any withdrawals 6 can be made from a provisional account.
The UK's Money Laundering Regulations 2017 7 mandate identity verification before any gambling activity as well, reflecting both countries' commitment to mitigating risk and preventing money laundering.
In practice, CDD for iGaming includes:

Identity verification: Obtaining proof of identity and age (to prevent underage gaming) and confirming these against independent sources . 8 This can be done via document upload checks, electronic identity verification services, databases, or facial recognition technology for live verification.
Beneficial owner verification: If an account is opened by or on behalf of a legal entity (less common in consumer gambling), the operator must identify any beneficial owners behind that entity. This aligns with EU requirements to identify and verify anyone owning 25%+ of a corporate customer.
Purpose and nature of relationship: Understanding the intended nature of gambling activity 9 may be part of initial due diligence, especially for higher-risk cases, for example, whether the account is for personal recreational betting or high-stakes play.
Ongoing and one-off transactions: iGaming accounts usually imply an ongoing relationship, so CDD is done at onboarding. However, if a platform allows single transactions, including the use of anonymous betting vouchers, CDD is required for transactions above certain thresholds. Most regulated markets have eliminated anonymous gambling accounts.
If CDD cannot be completed, or if the customer is deemed high-risk and unwilling to provide the required information, the operator must terminate the relationship. According to EU Directive 2015/849 10 and national laws, proceeding with a business relationship in the absence of satisfactory due diligence is prohibited.

Enhanced Due Diligence (EDD) for high-risk customers
For high-risk customers or situations, iGaming operators must apply Enhanced Due Diligence (EDD), which means extra measures to mitigate increased risk. Under the EU framework, EDD is mandatory in the following scenarios:

the customer is a Politically Exposed Person (PEP),
the customer is from a high-risk third country,
the transactions are unusually large or complex, or
in cases where the operator's risk assessment resulted in a high-risk rating.
Key EDD measures in the iGaming context include:
Source of funds (SoF) and wealth checks (SoW): High-risk customers must provide information or documentation on the origin of the money they use for gambling. For example, if a player deposits very large and unusual sums, the operator should inquire and verify whether the funds come from a legitimate source . 11
Enhanced identity verification: Re-verifying or obtaining additional identity proofs, especially if there are doubts about the initial documents. This might include using more robust electronic verification or biometric checks.
More frequent monitoring: Subjecting high-risk accounts to more frequent review and monitoring. For instance, betting patterns of a high-risk player might be reviewed manually by compliance officers on a regular basis.

Senior management approval: If the customer is a high-risk client, such as a PEP or a client from a high-risk country, the account should be approved by senior management, according to international 12 and national 13 requirements.
Detailed background checks: In some cases, operators will perform open-source news gathering or use public records to check the customer's background, for instance check adverse media news 14 as part of EDD.
Operators must also perform periodic reviews of existing customers (Ongoing Due Diligence). Higher-risk accounts might be reviewed more frequently (e.g., every six or twelve months) to refresh CDD information and ensure risk profiles are up to date. If new information arises (for example, if a customer's behavior changes or they become a PEP), the risk rating and due diligence measures should be updated accordingly.
In summary, the intensity of EDD measures is proportionate to the level of risk; therefore, higher-risk customers require more thorough verification and ongoing oversight.
EDD procedures ensure that iGaming operators know their player at a deeper level. High-risk clients (e.g., gamers depositing large amounts, politically exposed persons) should be subject to tighter checks to prevent the iGaming platform from being misused to launder illicit funds. These requirements stem from EU law (AML Regulation, 5AMLD and 6AMLD) and national regulations, which explicitly list scenarios requiring EDD and the measures to take (e.g., UK Money Laundering Regulations 2017, Federal Act on Gambling).

Screening against sanctions lists (EU, UN, OFAC, UK)
In addition to AML measures, iGaming operators must comply with international sanctions regimes 15 . Sanctions laws prohibit doing business with certain individuals, entities, or countries (e.g., terrorist financiers, proliferators of weapons, or entities linked to regimes like North Korea, Iran, or Russia).
iGaming operators can face severe penalties if they provide services to sanctioned persons or facilitate transactions involving sanctioned entities. Therefore, robust sanctions screening processes are essential.
Operators in Europe must primarily screen against the EU Consolidated Financial Sanctions List , 16 which includes all persons and entities sanctioned by the EU. Operators should also consider the United Nations Security Council sanctions lists . 17 Many operators additionally screen against OFAC's SDN List (U.S. sanctions)
and the UK's OFSI consolidated list, because iGaming is global and a customer might fall under another jurisdiction's sanctions. In practice, compliance solutions aggregate these lists so that a single screening covers EU, UN, OFAC, UK, and other relevant sanctions regimes . 18
Screening is done at customer onboarding and continues periodically. It also occurs at the time of payments, for example when processing withdrawals, the payee name might be screened again, and the banks involved are screened to ensure no sanctioned bank is used. Operators rely on automated screening tools that compare customer data (name, date of birth, address, etc.) against sanctions databases. This requires exact and fuzzy matching algorithms to catch potential matches (e.g., spelling variations, aliases). If a match is found, the account is typically frozen or suspended while the compliance team investigates whether it's a true match and,
if so, they must report it to the authorities.
According to EU guidance, the application of a risk-based approach is essential for effective AML/CFT compliance. Operators are expected to identify and assess risks across core factors, such as customer types, services offered, transactions, and jurisdictions, and to tailor controls accordingly. For example, where customer exposure to high-risk regions is high, enhanced screening and stricter controls should apply. By evaluating both the inherent likelihood and potential impact of ML/TF risks, operators can implement proportionate measures to mitigate vulnerabilities. Internal policies must clearly define responsibilities, response protocols,
and documentation standards for managing identified risks.
In summary, sanctions screening is a critical extension of AML/CFT compliance. It ensures that an iGaming platform is not inadvertently facilitating prohibited transactions or giving sanctioned individuals a channel to move funds. With the EU's sanctions framework becoming ever more complex, operators must stay updated on sanctions lists and maintain robust automated screening systems.

When must iGaming operators conduct Customer Due Diligence (CDD)?
CDD is a fundamental AML requirement for iGaming operators. Based on regulatory thresholds, when is CDD typically required?

A)

Only after a suspicious transaction is reported.

SELECT

B)

Only when a customer wins a large prize.

SELECT

C)

Before or during account establishment and when deposits reach regulatory thresholds.

SELECT

D)

Only at the point of withdrawal regardless of amount.

SELECT

Reporting obligations (SAR reporting)
A Suspicious Activity Report (SAR) 19 is a cornerstone of AML obligations. iGaming operators in Europe are legally required to promptly report any known or suspected money laundering or terrorist financing activity to their national Financial Intelligence Unit (FIU). This duty is outlined in the EU AML Directives (e.g., Article 33 of 4AMLD) and transposed into member states. In the UK, post-Brexit, SARs are submitted to the
National Crime Agency (NCA) 20 under the Proceeds of Crime Act 2002 and the Money Laundering Regulations 2017. In Switzerland, reporting is governed by the Anti-Money Laundering Act (AMLA) and must be filed with the
Money Laundering Reporting Office Switzerland (MROS) . 21
Unlike other sectors, there is no monetary threshold to filing an SAR. The obligation is based on suspicion that funds are criminal in origin or linked to terrorism. As noted in European guidance, even if a suspicious activity involves a small amount or falls below what might be a formal reporting threshold, it must still be reported to authorities.
Examples of suspicious triggers include
customers attempting to deposit cash or cryptocurrency of dubious origin;
sudden changes in betting patterns that suggest "chip dumping" or collusion;
customers refusing to provide proof of funds when requested;
and any activity that doesn't match the customer's profile (e.g., a low-income player suddenly betting large sums).
iGaming firms must proactively and vigilantly report suspicious activity. The European Commission and local regulators emphasize that iGaming operators play a frontline role in detecting illicit finance and must file Suspicious Activity Reports (SARs) as part of their duty. Even if a suspicious incident doesn't lead to immediate law enforcement action, filing an SAR protects
the operator by showing compliance and contributes to the intelligence authorities can use to combat money laundering.

What triggers a Suspicious Activity Report (SAR) in the iGaming sector?
Under AML laws, operators must report suspicious activity without monetary thresholds. What scenario would most likely require the filing of a SAR?

A)

A player wins a promotional bonus.

SELECT

B)

A player refuses to provide proof of funds for unusually large deposits.

SELECT

C)

A player delays withdrawals for a week.

SELECT

D)

A player updates their account email.

SELECT

Record-keeping requirements
Record-keeping is a core requirement of AML compliance, particularly for iGaming operators in Europe. The European AML framework requires the maintenance of detailed records of customer transactions and due diligence information for use in future audits or investigations. This includes retaining all CDD documents, such as identification records, address verification, evidence of source of funds,
and politically exposed person checks, as well as any correspondence related to the due diligence process. When electronic verification is used, the corresponding records, including digital signatures, must also be retained.
iGaming providers must keep complete records of financial transactions, including deposits, withdrawals, betting activity, balances, and the payment instruments used, such as bank accounts and e-wallet IDs. Internal investigations, especially those related to suspicious activity reports (SARs), and all communication with law enforcement or financial intelligence units must be documented and stored.

According to EU law, the standard retention period is five years after the end of the customer relationship or a one-time transaction. After this period, the data must be deleted or anonymized, unless an extension is justified for crime prevention purposes.
Records must be easily accessible for prompt regulatory review. Regulators commonly test this during inspections by requesting full Know Your Customer (KYC) and transactional histories for selected accounts. Acceptable formats include original documents or admissible copies, such as scanned files. Appropriate data security measures must be in place to comply with privacy regulations.

What is the purpose of sanctions screening for iGaming operators?
iGaming operators must comply with multiple international sanctions regimes. What is the primary goal of sanctions screening in this context?

A)

To validate customer age requirements.

SELECT

B)

To verify betting patterns and frequency.

SELECT

C)

To ensure operators do not interact with sanctioned individuals or entities.

SELECT

D)

To track the financial status of all players.

SELECT

Corporate compliance and governance for iGaming operators
Effective AML/sanctions compliance in iGaming requires strong governance structures. Regulators expect that iGaming operators foster a culture of compliance from the top down, with clear accountability and well-trained personnel at all levels.
Every licensed iGaming operator in Europe must appoint a designated Money Laundering Reporting Officer (MLRO) 22 or equivalent AML Compliance Officer. This individual is responsible for the day-to-day oversight of AML/CFT efforts and is the main point of contact for authorities. The MLRO should be a person of sufficient seniority and authority within the company,
who is capable of enforcing compliance measures and reporting to the board of directors. For example, the UK Gambling Commission rules and the UK Money Laundering Regulations require a "nominated Officer" 23 (usually the MLRO) to be in place,
and they hold that person accountable for compliance failures. The MLRO typically prepares annual AML reports to the board, advises on risk assessment updates, and must have the independence to escalate issues.

Conclusion
iGaming operators in Europe face rigorous AML and sanctions compliance obligations that demand a proactive, risk-based approach. From robust customer due diligence to sanctions screening, SAR reporting, and strong internal governance, these measures are essential to preventing illicit finance and maintaining regulatory trust. By embedding compliance into every aspect of their operations, iGaming firms can not only meet legal standards but also safeguard their platforms and reputations in a highly regulated digital environment.

Stay compliant with dilisense
dilisense provides specialized AML and sanctions screening solutions to ensure your iGaming business stays compliant with global regulations. Our platform offers real-time transaction monitoring and screening against the latest sanctions lists, including EU, UN, OFAC, and more. Stay compliant with dilisense, your partner in AML and sanctions screening.
Try for free

References
1 Online gambling in the EU. https://single-market-economy.ec.europa.eu/sectors/online-gambling_en. Accessed May 16, 2025.

2 European Union - Regulation (EU) 2024/1624. https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=OJ:L_202401624. Accessed May 15, 2025.

3 European Union - Report on the assessment of the risk of money laundering and terrorist financing. https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:52022DC0554. Accessed May 16, 2025.

4 Switzerland - Federal Act on Gambling (Gambling Act). https://www.admin.ch/gov/en/start/documentation/votes/20180610/Federal-Act-on-Gambling.html. Accessed May 16, 2025.

5 Switzerland - Anti-Money Laundering Act (AMLA). https://www.fedlex.admin.ch/eli/cc/1998/892_892_892/en. Accessed May 16, 2025.

6 SRO Casinos - Informationen. https://www.sro-casinos.ch/de/informationen.html. Accessed May 16, 2025.

7 United Kingdom - The Money Laundering, Terrorist Financing and Transfer of Funds - Regulation 2017. https://www.legislation.gov.uk/uksi/2017/692/regulation/18. Accessed May 16, 2025.

8 EGBA - European Gaming & Betting Association. https://www.egba.eu/uploads/2022/02/Consumer-Protection-in-EU-online-gambling-overview-tables-BLUE.pdf. Accessed May 16, 2025.

9 EGBA - Guidelines on fighting money laundering and terrorist financing for the European online gambling sector. https://www.egba.eu/uploads/2023/03/230306-EGBA-Guidelines-on-AML-for-Online-Gambling-FINAL.pdf. Accessed May 16, 2025.

10 European Union - Directive (EU) 2015/849. https://eur-lex.europa.eu/eli/dir/2015/849/oj/eng. Accessed May 16, 2025.

11 The World Lottery Association - Enhanced Compliance Due Diligence (EDD) Measures. https://publications.world-lotteries.org/guides-articles/aml-best-practices-chapter-5-enhanced-compliance-due-diligence-edd-measures. Accessed May 16, 2025.

12 Financial Action Task Force (FATF) - The FATF Recommendations. https://www.fatf-gafi.org/content/dam/fatf-gafi/recommendations/FATF%20Recommendations%202012.pdf.coredownload.inline.pdf. Accessed May 16, 2025.

13 United Kingdom - Gambling Commission. https://www.gamblingcommission.gov.uk/guidance/the-prevention-of-money-laundering-and-combating-the-financing-of-terrorism/prevention-of-ml-and-combating-the-financing-of-terrorism-part-6-7-Enhanced-customer-due-diligence-and-enhanced-ongoing-monitoring. Accessed May 16, 2025.

14 dilisense GmbH - Real-time adverse news. https://dilisense.com/en/sources/adverse-media. Accessed May 16, 2025.

15 dilisense GmbH - What is Sanctions Screening. https://dilisense.com/en/insights/what-is-sanctions-screening. Accessed May 16, 2025.

16 European Union - Consolidated list of persons, groups and entities subject to EU financial sanctions. https://data.europa.eu/data/datasets/consolidated-list-of-persons-groups-and-entities-subject-to-eu-financial-sanctions?locale=en. Accessed May 16, 2025.

17 United Nations - United Nations Security Council Consolidated List. https://main.un.org/securitycouncil/en/content/un-sc-consolidated-list. Accessed May 16, 2025.

18 dilisense GmbH - Sanction list. https://dilisense.com/en/sources/sanction-sources. Accessed May 16, 2025.

19 dilisense GmbH - What is a Suspicious Activity Report (SAR). https://dilisense.com/en/insights/what-is-a-suspicious-activity-report. Accessed May 16, 2025.

20 United Kingdom - National Crime Agency. https://www.nationalcrimeagency.gov.uk/what-we-do/crime-threats/money-laundering-and-illicit-finance/suspicious-activity-reports. Accessed May 16, 2025.

21 Switzerland - Money Laundering Reporting Office Switzerland (MROS). https://www.fedpol.admin.ch/fedpol/en/home/kriminalitaet/geldwaescherei.html. Accessed May 15, 2025.

22 dilisense GmbH - What is a MLRO? https://dilisense.com/en/insights/what-is-a-money-laundering-reporting-officer. Accessed May 16, 2025.

23 United Kingdom - Standing of the nominated officer. https://www.gamblingcommission.gov.uk/guidance/the-prevention-of-money-laundering-and-combating-the-financing-of-terrorism/prevention-of-ml-and-combating-the-financing-of-terrorism-part-5-1-Standing-of-the-nominated-officer. Accessed May 16, 2025.

Free Web Search
Search for Sanctions, PEPs and Criminals

Book a meeting
See a demo and talk to our experts
Select date

Get in touch
Send us your inquiry and questions
Contact us

Social Media
Follow us for the latest product updates

Products
AML Screening API
Ongoing Monitoring
AML Database
Adverse Media Screening API

Batch Screening
Free AML Search

Pricing
AML Screening API
Ongoing Monitoring
AML Database
Adverse Media Screening API
Batch Screening

Sources
Sanction Lists
PEP Sources
Adverse Media
Criminal Watchlists
Additional Sources

Use Cases
Financial Institutions
Payment Service Provider
Insurance Companies
Crypto Businesses
Gaming & Gambling
Real Estate Agencies
Asset Management
Business Intelligence

Resources
Company
Developers
Insights
Contact Us

Legal
Terms of Service
Privacy Policy
Cookie Policy

dilisense
© 2026 dilisense GmbH · Switzerland · info@dilisense.com · UID: CHE-406.519.053